All this narrows the apparent gap between listed and unlisted mar-kets in a period such as the present, when more and more purchases are being handled by salesmen rather than by brokers who just take orders. It does not mean that from the standpoint of marketability a well-known, actively-traded stock on the New York Stock Exchange has no advantage over the better over-the-counter stocks. It does mean that the better of these over-the-counter stocks are frequently more liquid than the shares of many of the companies listed on the American Stock Exchange and the various regional stock exchanges. I imagine those connected with the smaller stock exchanges would sincerely disagree with this statement. Nevertheless, I believe an unprejudiced study of the facts would show it to be true. It is why a number of the more progressive of smaller and medium-size companies have in recent years refused to list their stocks on the smaller exchanges. Instead they have chosen the over-the-counter markets until their companies reach a size that would warrant “big board”— that is, New York Stock Exchange—listing.

In short, so far as over-the-counter securities are concerned, the rules for the investor are not too different from those for listed securities. First, be very sure that you have picked the right security. Then be sure you have selected an able and conscientious broker. If an investor is on sound ground in both these respects, he need have no fear of purchasing stock just because it is traded “over-the-counter” rather than on an exchange.

3. Don't buy a stock just because you like the “tone” of its annual report.

Investors are not always careful to analyze just what has caused them to buy one stock rather than another. If they did, they might be surprised how often they were influenced by the wording and format of the gen-eral comments in a company's annual report to stockholders. This tone of the annual report may reflect the management's philosophies, policies, or goals with as much accuracy as the audited financial statement should reflect the dollars and cents results for the period involved. The annualreport may also, however, reflect little more than the skill of the company's public relations department in creating an impression about the company in the public mind. There is no way of telling whether the pres-ident has actually written the remarks in an annual report, or whether a public relations officer has written